

Exits in the UK: Selling Up, Not Out

2025

In collaboration with Charles Stanley, we've created the Exits in the UK report. This report explores the evolving landscape of acquisitions, Initial Public Offerings (IPOs), and the rising trend of secondary transactions.

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How are the UK's most ambitious companies approaching their exits?

We've partnered with Charles Stanley to create the "Exits in the UK – Selling Up, Not Out" report. This definitive guide covers the data and trends behind acquisitions, IPOs, and secondary transactions for high-growth businesses between 2015 and 2025.

Inside the report

Market overview

Key figures (2015–Q1 2025)

51.6%
average proportion of exits
at the established stage of
evolution

225
number of exits via IPO

2,212
number of exits in the
application software sector

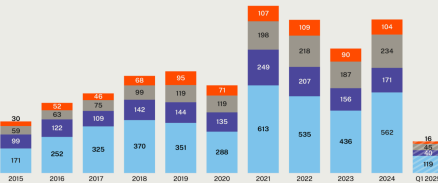
Between 2015 and Q1 2025, most exits by high-growth companies occurred at the established stage of evolution. Exits at this stage represented an average of 51.6% of all exits per year. The number of UK company exits hit a record in 2021, with a combined total of 1,167. Over half of those – 613, or 52.5% – were by companies at the established stage. This proportion of exits at the established stage is in line with the expected growth of a company. An exit, whether through acquisition or IPO, is typically the culmination of years of value creation. As such, companies reaching this milestone tend to be more mature and ingrained in their markets. Being established means that a company has both the scale and visibility to attract buyers or successfully list on a stock exchange.

Despite the dominance of exits by established companies, the number of early-stage exits has been on the rise. The proportion of venture-stage companies has grown over the past decade, both in absolute and proportional terms. In 2015, there were 59 venture-stage exits (16.4% of the total that year), whereas in 2024, venture-stage exits reached their highest count (234) and share (21.9%).

In contrast, seed-stage exits have remained a minority throughout the period. Their share hovered between 7% and 13% annually, peaking at 13.4% in 2019 (95 exits). By Q1 2025, seed-stage exits accounted for just 7.27%, though their proportion of 16 exits represents a slightly higher quarterly rate than in several prior years.

Exits by high-growth companies by stage of evolution (2015–Q1 2025)

Stage of evolution at deal date
● Seed ● Growth ● Established



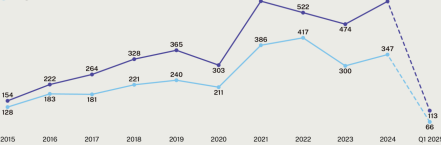
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About the authors

Domestic and International acquisitions

Number of acquisitions by domestic and international buyers (2015–Q1 2025)

Acquirer location
● Domestic ● Foreign



Between 2015 and 2024, acquisitions of UK high-growth companies by both domestic and foreign buyers rose significantly, increasing by 2.7x and 1.7x, respectively. There were only two dips in activity, with the first occurring in 2020, as buyers paused transactions amid pandemic-related uncertainty. However, the rebound was swift as interest rates cut to 0.1% and over £400 billion injected through asset purchases.

With interest rates at record lows and liquidity flooding the system, investors moved into risk assets, driving a sharp rebound in valuations. The FTSE TechMARK All-Share Index, which tracks many of the UK's growth-focused tech firms, rose by more than 40% between April 2020 and December 2021.¹ As a result, domestic publicly listed companies, buoyed by stronger balance sheets and inflated share prices, found themselves well-positioned to pursue acquisitions using equity as currency.

In this environment, competition for high-quality domestic assets intensified. UK high-growth companies, especially those with digital infrastructure, recurring revenues and scalable models, were well-positioned to meet this surge in demand.

But they were not only acquisition targets. Amid a sharp rise in venture and growth equity investment, many high-

growth firms also became acquirers, using newly raised capital to pursue strategic takeovers of their own. This dynamic helped fuel the record levels of M&A activity seen during the pandemic recovery.

Over the past decade, US firms have completed more than 1.2x acquisitions, nearly six times the volume of France, the next most active country. This sustained lead reflects both demand and supply-side dynamics. On the buyer side, acquiring a UK company offers a cost-effective gateway into European markets, often with limited cultural or linguistic barriers. On the sell side, many UK startups see acquisition by a US firm as a fast track to global scale and higher valuations. Access to the US customer base, capital markets, and growth infrastructure is a powerful draw, particularly in sectors like software, fintech, and biotech.

In 2022, cross-border acquisitions fell to 300. While this drop was shaped by higher interest rates and tighter credit conditions, domestic policy developments also played a role. The National Security and Investment Act (NSIA), implemented in 2022, introduced new screening powers for deals involving sensitive sectors.² The added regulatory scrutiny has introduced friction and contributed to a more cautious outlook among international buyers.

¹FTSE Investment, "FTSE TechMARK All-Share", Friday, UK.

²UK Government, "National Security and Investment Act", 2024, UK.

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17

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high-growth business. He's worked on briefs for the likes of Barclays, SyndicateRoom, Innovate UK, Smith & Williamson and British Business Bank. He regularly gives presentations on market trends at events around the UK.

team's public sector work. Before joining Beauhurst, Callum was a Senior Researcher at Westminster-based think-tank Onward focusing on 'Levelling Up' policy. He was also a Consultant in Portland Communication's specialist Litigation & Disputes practice.

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